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HOW TO A WRITE A BUSINESS PLAN FOR CANNABIS RETAIL

A Comprehensive Guide by Cova Software

Writing a business plan is one of the most important steps you will take once you have decided to open a dispensary.

Having a business plan is not only an essential and sometimes mandatory part of your legal cannabis business license application, but it is also a crucial tool when it comes to raising capital and attracting investors. A dispensary business plan will provide strategic guidance covering every aspect of ownership, from license application and preparation to launch and daily operations.

Unless you or someone on your team has experience drafting these documents, it is highly recommended that you hire an experienced professional or a grant writer to assist you with the process; you can expect to pay between $1,000 and $5,000 for professional help, depending on how much effort are you willing to put in yourself.

If you do decide to attempt things on your own, consider subscribing to a service like LivePlan, which can guide you through the process of creating a template-based business plan for just a few dollars. However, the cannabis industry is unique and has its own set of challenges. The complexities involved in applying for a dispensary license and keeping your operations compliant with the regulations require you to have a robust dispensary business plan that takes into account all legal requirements. Hence, it is highly recommended that you hire an experienced consultant to help you draft or at least, review the plan. If you cannot afford that, buying a standard template from a reputable cannabis consultant is an alternate option.

No matter what approach you ultimately select in terms of drafting and presenting your business plan to your state authority and investors, several core elements must always be addressed within it. In this guide, we have identified six elements that are of particular importance for new dispensaries and have examined each of these in detail.

ELEMENT ONE – EXECUTIVE SUMMARY

The first page or two of your business plan should always be an executive summary. It is an encapsulation of other more fully developed sections of your business plan, presented in an easily digestible format so that anyone reading it can understand the big picture.

In the executive summary, you'll want to focus on the underlying need that exists and how you intend to fulfill it with your new dispensary business. Other crucial points that must be highlighted include:

- How do you plan to provide access to safe and high-quality cannabis to your dispensary customers,
- Where and how you plan on delivering your products and services (be specific!),
- A basic analysis of your target market and competition,
- How do you plan to gain support from your local community,
- And a summary of your organizational core competencies, the people involved, and the advantages you bring to the table relative to other competing providers.

Another important point that must also be addressed in your business plan is how you will keep your dispensary compliant with your state's cannabis tracking regulations and you could mention the technology provider or POS system you intend to use for facilitating compliance.

The executive summary should also include a brief section on financial expectations and revenue forecasts, with an emphasis on how you intend to secure any required funding. No more than a sentence or two is needed here for each element; if a reader wants the in-depth research or rationale behind any of these elements, they will be able to consult the appropriate full section of the plan for their answers.

ELEMENT TWO - OPPORTUNITY

> *Whatever the particular circumstances may be in your local market, there should be some way for you to find a competitive advantage and problem to solve.*

The opportunity section of your plan should begin with a thorough examination of the problem you intend to solve. Perhaps any existing dispensaries in the area keep inconvenient hours or are not easily accessible via public transportation. Perhaps their pricing is not competitive, or you plan on bringing new cannabis products like beverages, edibles, or concentrates to a market that is not currently well-served in that regard. Perhaps they are poorly designed or unprofessionally maintained, causing segments of the population to avoid them. Many municipalities also have zoning restrictions and only a specific number of dispensaries are permitted to operate. If you have prior retail experience and can highlight in your business plan that you'd be the best candidate to open a dispensary in your zone, then you'd certainly score brownie points with both investors and regulators alike.

Whatever the particular circumstances may be in your local market, there should be some way for you to find a competitive advantage and problem to solve. After identifying the problem, you can next describe how your business plan intends to solve it. If you are addressing several issues, detail them individually so that it's easier to read and digest. The opportunity section should also include your research into target markets and demographics, including any thought you have given to segmentation. Describe your ideal customer in terms of their demographics, needs, or expectations, and explain how your plan intends to service each market segment.

You'll also want to include a detailed overview of the general competitive landscape in your area. Detail any direct competitors you expect to have. If there are no other dispensaries in the area or your state has just allowed legal cannabis dispensaries to start operating, instead discuss how potential customers are currently fulfilling their needs, and how you intend to compete against those alternate avenues of satisfaction.

> *Consider partnering with some of the local, state and federal groups available to help you in terms of community outreach.*

Subsequently, describe the specific advantages you feel your business will have over competing entities. Perhaps you intend on competing on a price basis, perhaps you intend on leveraging expertise in breeding new strains of cannabis, or perhaps you will be focusing on the much less competitive market for high-end concentrates as opposed to a potentially oversaturated market for traditional cannabis flower bud – all of these are potentially valid strategies. You can easily differentiate your dispensary on the following basis:

• **Brand Experience:** You may focus on providing a more seamless customer experience, perhaps with a quick check-out or omnichannel sales process.

• **Location:** You could talk about your dispensary being located in a specific area, which is underserved or which may garner a lot of footfalls.

• **Wider Product Selection:** By offering unique cannabis products and SKUs, you will be bringing something new to the market that will bring in more customers.

• **Operational Excellence:** You could also differentiate your business by having expertise in operations or using advanced technology to streamline dispensary management.

• **Pricing and Quality:** With demonstrated efficiency, you can certainly reduce your operational costs and offer high-quality products at reduced prices to customers.

The overall customer experience dispensaries offer is rapidly changing, and those who correctly position themselves by utilizing an integrated combination of customer service, technology, and design will likely find themselves outcompeting outdated business models in short order.

ELEMENT THREE - EXECUTION

The execution component of your business plan should have three distinct subsections; one that deals with your marketing & sales plans and community outreach efforts, another that deals with operations, locations/facilities, and technology, and a final one that illuminates key milestones and metrics you plan to use to measure the performance of your business.

Marketing Plan – This should present detailed descriptions of the various tools and tactics that you will use to initially build brand awareness and attract customers to your dispensary. This must include both offline and online marketing strategies. You can certainly do traditional physical marketing like signages and print advertising if allowed by your state, but having a digital presence these days is more essential than ever, as most customers will learn about your business online or even buy products from your E-commerce platform. An SEO-optimized website and presence on social media channels, along with public and media relations are a must. TV commercials or any other channels you may consider using may be subject to restrictions. Some states have strict regulations on how cannabis products and dispensaries can be advertised, so be sure to consult with your legal team as to what is permissible in your area. Additionally, you'll want to focus on presenting the unique selling propositions that you will use to differentiate your branding and messaging from the competition.

Sales Plan – This covers activities performed that are designed to turn people into new customers. You'll want to talk about the different channels you use to attract initial interest, and then describe how your organization will directly appeal to prospects on those channels. Since your dispensary will primarily have in-store retail sales, your sales plan must mention:

- How your budtenders will offer unique customer service and turn visitors into clients.
- How you will incorporate promotional activities to upsell and increase sales.
- The programs you will introduce for promotions, like gift cards or BOGO.

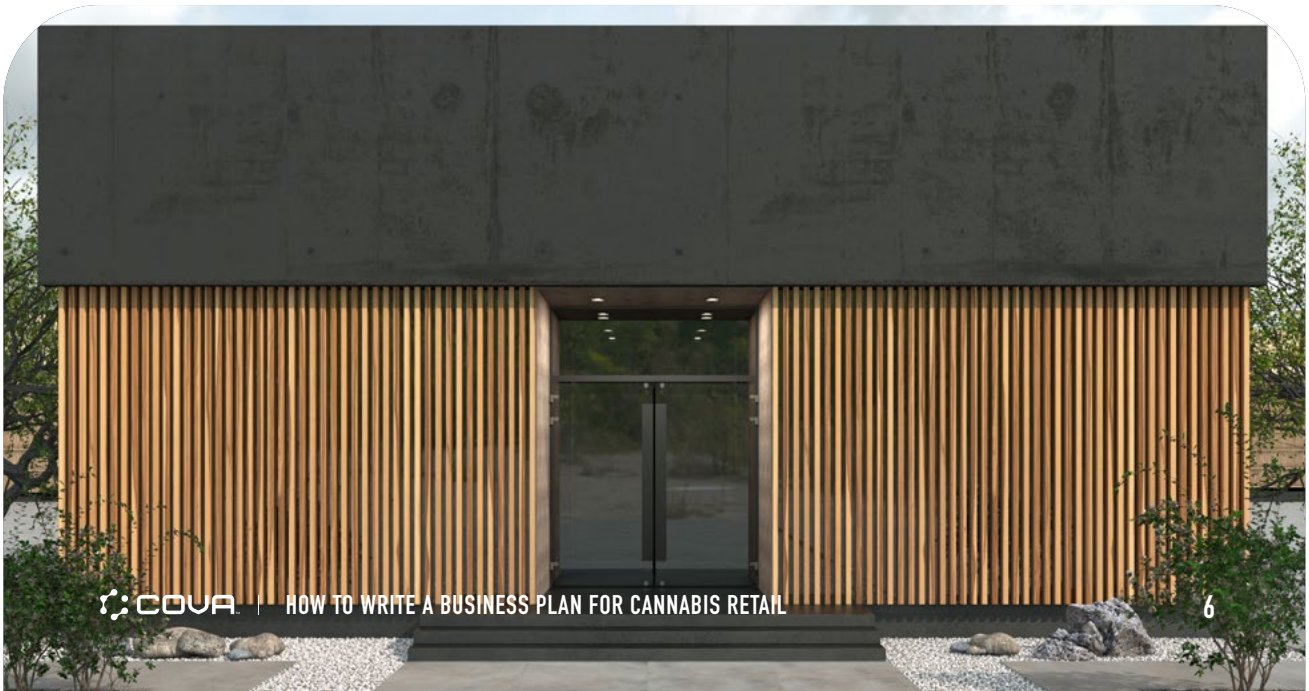
For example, if you emphasize that your brand will focus on curating a unique customer experience, your sales plan could include how budtenders would act as cannabis consultants while educating customers about the effects of various strains and helping them find the right product as per their requirements. If they are well educated about the product and equipped with a tablet mobile POS like Cova that offers them complete product information and allows them to check out customers anywhere on the floor, that elevates the shopping experience. If you include such details in your sales plan, it'd fortify your overall business plan.

Community Outreach – To better connect with both the community in which you operate, as well as potential customers in your area, consider partnering with some of the local, state, and federal groups available to help you in terms of community outreach. Here are just a few of the organizations you should consider working with:

- Local NORML – Many cities and municipalities have their local branch of NORML; find out if your location does and approach them if one exists.
- Americans for Safe Access – https://www.safeaccessnow.org
- California Minority Alliance – https://californiaminorityalliance.com
- New Mexico Chamber of Commerce – https://www.nmchamber.org
- NJ Cannabis Association – https://newjerseycannabusiness.com
- Mississippi Medical Marijuana Association – https://www.medicalmarijuanams.com
- National Cannabis Industry Association – https://thecannabisindustry.org

Operations Plan – This portion of the plan will itself have five subsections: Locations and Facilities, Dispensary Design and Flow, Technology, Hardware and Equipment, and SOPs.

1. Location & Facilities – Detail the actual physical space your dispensary will need to occupy in order to operate. Discuss your office space, warehousing, manufacturing, or processing if you engage in those activities, and make sure your plan accommodates the potential for your business to expand in the future. The selection of a specific address for your facility will occur later on in the process, but at this point, you should be able to narrow it down enough for some napkin math and to earmark encouraging properties for future investigation. Examine these potential choices through the lens of potential benefits they might deliver to your dispensary; certain locations may prove more accessible to road or foot traffic for example, or they might be located close to suppliers or other key resources.



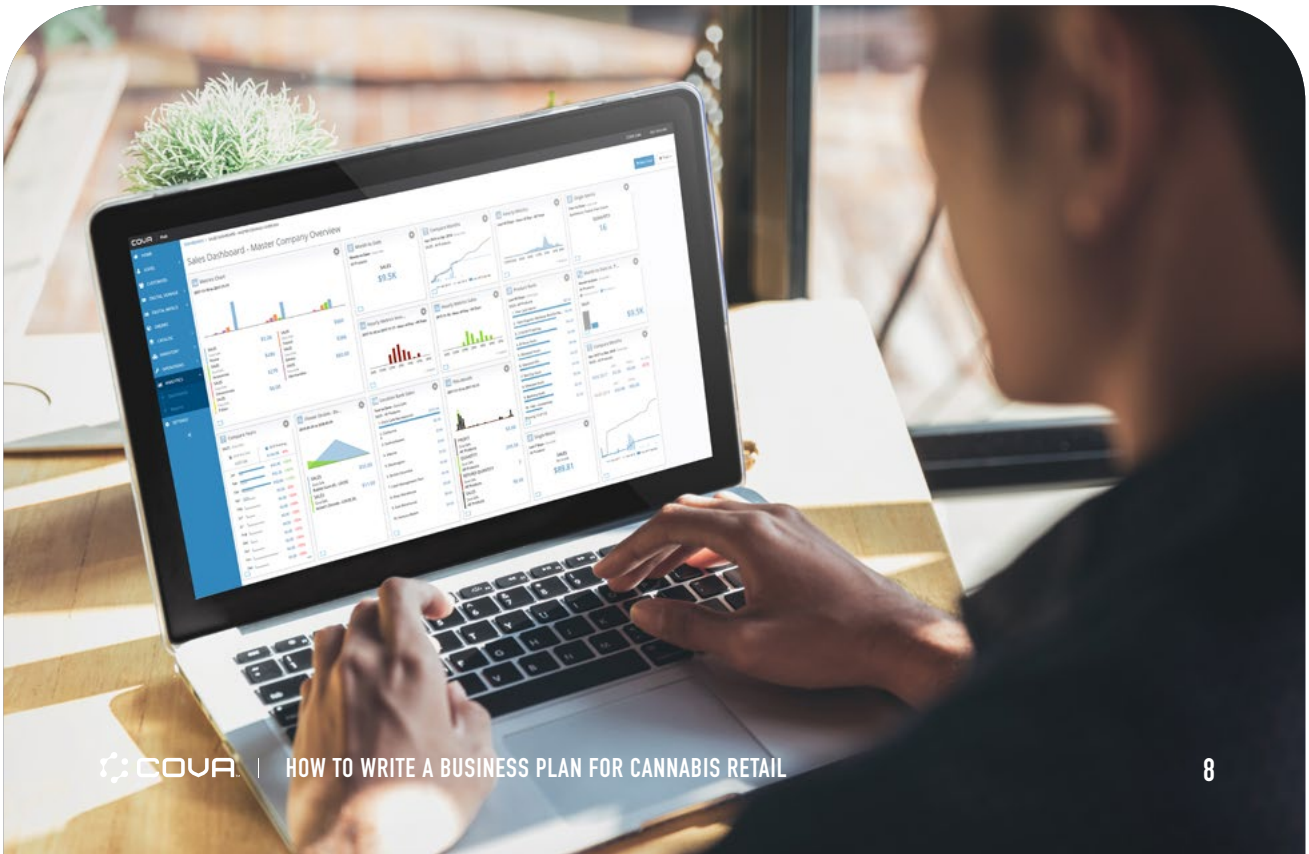
2. Dispensary Design & Flow – Your store layout, the design and ambiance you intend to create, and how you will merchandise your products are all essential components of this section of your business plan. Whether you are operating a medical marijuana dispensary, a recreational cannabis store, or offering both at the same location, your dispensary flow will dictate the experience you want to offer to your customers.

3. Technology – This section should list all of the specific information technology, computer software, and systems your business will need to run. For a dispensary, this must include a cannabis POS and inventory management system, a CRM system for sales, an e-commerce platform to facilitate easier ordering, all of the computers and tablets your staff will use, or any other industry-specific technology you plan to develop or acquire. Your POS system is likely the single most important technological component of your plan, as it ties into your ability to accurately track inventory & sales, along with assisting in reporting, ensuring sales compliance, and even keeping track of medical recommendations and IDs. In the highly-regulated cannabis industry, you must choose a cannabis-specific POS as it simplifies compliance and reporting, streamlines inventory management and tracking, and helps you deliver an elevated customer experience.

4. Hardware & Equipment – This section is similar to the previous one, but it focuses more on major capital expenditures you expect to make on behalf of your business. This could include location refurbishment costs, the extensive surveillance and security systems dispensaries are mandated to operate and maintain in most jurisdictions, and other expenditures of this nature. Having a security and surveillance system is extremely important for a dispensary, considering that in many US states, it's still primarily a cash business. Also, with the recent crimes, it helps you safeguard your dispensary.

5. Dispensary SOPs – Standard operating procedures (SOPs) are the documents and processes that keep companies compliant, efficient, and profitable. You must incorporate all best practices while designing and documenting your SOPs. A brief description of your opening and closing procedures, check-in process, inventory tracking and management, delivery procedures, cash management, quality assurance, etc., must be included as part of your business plan document.

Milestones & Metrics – This section details the various milestones and metrics that you will use to judge whether your business is performing according to the plan. These are largely arbitrarily selected; one dispensary may want to focus on generating specific levels of revenue, while another may want to focus on building up its brand and market share rather than on pure profit. The choice of which metrics matter most is up to the individual business owner, and what their potential investors may require of them.



ELEMENT FOUR – COMPANY

The company portion of the business plan mainly addresses two items:

1. The first is an overview of the ownership and structure of the prospective business. This section of the plan should be comprised of a detailed list of all individuals who will be considered owners, as well their specific stakes in the organization. You should also describe the specific legal structure you have elected to do business under, along with your reasoning for doing so. You'll want to pay specific attention to regulations your state may have in this regard; many of them have residency requirements, ownership limits, or other limiting factors that directly impact who can own portions of or invest in your dispensary.

Make sure that your company structure and owners qualify for what application requirements exist in your state. Most states prioritize applicants with prior business or retail experience for a cannabis business license. For example, in New York, where social equity applicants are being given a priority for legal cannabis licenses, applicants are still required to have prior business experience and demonstrate having made a profit for at least 2 years in a business where they have at least 10% ownership.

2. The second portion of the company section describes the role each member of the management team (including yourself) will play in the running of the business. You'll want to focus on individual skillsets and experience, and explain how these make your team stronger and more likely to succeed. This section does not, strictly speaking, have to be composed solely of actual members of the management team; advisors, mentors, investors, counselors or other individuals whose abilities will be integral to your success can also be described here, whether or not they are part 'owners' in true sense.

You may also have to describe in detail your hiring plan and how you will have an impact on the local community in terms of generating employment. Some states require you to hire people from the local community your business will be located in. For example, New Jersey wants cannabis business owners to hire staff from diverse backgrounds to ensure that they are meeting the requirements of the social equity provisions set by the state.

ELEMENT FIVE – FINANCIAL PLAN

The financial plan is one of the most critical elements of your business plan. It should consist of three key items: a section on detailed financing, a section on costs, and a final section on forecasts and projected statements.

Financing – This portion of the financial plan deals with two important pieces of information: where you will be obtaining your operating capital, and how it will be used. Fully describe where all your sources of initial capital will come from; this can include loans, credit lines, equity investments, individual investments, and more. Then proceed to explain how these funds will be used. Covering operating costs, scaling the business up, and financing the purchase of large capital expenditures or equipment are all acceptable uses of funds. Your accountant and store manager may be able to help you more fully flesh out this section if needed.

Costing – Break down exactly how you intend to spend your initial capital and include a plan that outlines your initial cost of opening the dispensary and ongoing expenses. Potential investors would want to know exactly what type of tech equipment and displays you plan on using in your dispensary, how much will these cost, along with staff salary projections, real estate costs, and any other major expenditures. All these costs will help you forecast the projected revenue. Investors will want to know when you—and in turn, they—can expect to make profits.

Forecast & Revenue – Use this section to specifically describe how you came up with the estimated values you are using in your projected financial documents. This data can come from past results, market research or analysis performed, numbers from other dispensaries, or a variety of other sources. Take time to craft a story and narrative behind the numbers that help them connect and make sense to outsiders who may view the document. Your estimated revenue forecast and how much profit your dispensary makes will depend on what best practices you intend to incorporate.

ELEMENT SIX – COMPLIANCE

Your expected compliance with all state and local laws is very integral to every step of the entire process of opening and running a cannabis dispensary and many states demand that you talk about how you intend to keep your business compliant. Thus, it deserves its own section in your business plan. This is more specific to the cannabis industry because of strict regulations, and it makes a good example of what you may be missing out on should you simply create your business plan based on downloaded standard templates.

Of course, you must satisfy residency and investment requirements imposed by a state to be eligible for a cannabis business license and address in detail how you expect to navigate through the licensing and application process in your location. But from an operational perspective, the following three elements are crucial for dispensary compliance:

ID Verification & Purchase Limits - You must explain in brief what technology will you use at the dispensary to ensure compliance with cannabis laws. A dispensary POS built for cannabis compliance can help you accomplish this by: preventing your budtenders from making sales beyond purchase limits or outside store hours; ensuring product is only sold to legal adults with the help of a built-in ID scanner; collecting appropriate sales tax; and making sure labeling is accurate to ensure safe access to cannabis for your customers.

Inventory Tracking and Reporting - Most states in the US require tracking of inventory and sales through a state-mandated traceability system such as Metrc or BioTrack. You must mention in your business plan how you will be submitting your regular compliance reports and track inventory from seed to sale if that's required by your state. Discuss how you will physically handle and track cannabis, all the way from initial receipt to sale. Again a POS system with integration to the state tracking system will simplify everything.

Security and Surveillance - Although this falls under operations, it's also an important part of the compliance plan for cannabis businesses as states mandate a security and surveillance system for cannabis businesses. The primary purpose of a cannabis security plan is to provide a safe and secure environment for the dispensary's employees and customers while abiding by all legal requirements. The plan must also include how you will keep cannabis products and customer data safe.

APPENDICES

Along with the six main sections described above, you'll also want to include a variety of charts and projections, compiled together into an appendix. Profit & Loss statements, balance sheets, cash flow projections, and other documents of that sort are presented here.

Creating a thorough, well-thought-out business plan goes a long way towards both helping you solidify your overall strategy, fortifying your cannabis business license application, as well as demonstrating to outsiders - such as potential investors - that you have identified a solid business opportunity and that you are in a position to effectively exploit it.

ABOUT COVA

With so many startups entering the technology space, it's rare to find cannabis retail software with a track record like ours.

Cova Software has been the fastest-growing software solutions company in the history of legal cannabis and is now the #1 cannabis POS in North America. Since launching commercially less than 4 years ago, we have surpassed over 50 point-of-sale systems to become the tech of choice for ambitious and enterprise-level cannabis retailers.

Through constant product innovation, execution of a clear growth strategy, and high integrity in everything we do, Cova delivers a premium service to our clients. That means simplified compliance, streamlined ease-of-use, and unparalleled reliability— all backed by highly praised support.

With deep roots in retail technology that span emerging and compliance-laden markets, we leverage unique expertise to build a robust cannabis POS now trusted by more than 2,000 stores—and counting—from coast to coast. We support retailers opening their first store and have helped others scale to over 100 locations.

Cova has invested heavily to establish the industry-standard platform and remain technologically one step ahead as cannabis retail evolves.

Growing your empire takes time, experience, and the right technology partner.
We know how. Join us.

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